FUTURE TRENDS AI

PRIVACY



By **Prasanto K. Roy**

THE DARK AGE OF SURVEILLANCE CAPITALISM

INDIA IS CELEBRATING AN AI GOLD RUSH FOR EFFICIENCY AND GROWTH, BUT THIS AI IS FED BY A RAPIDLY EXPANDING SURVEILLANCE ECONOMY

It **was a week after Independence day in 2017;** a startup founder friend had hit upon a great idea: micro-loans for those without a credit history, tapping unrelated data such as mobile recharges. Over chilled beer, his startup team came up with what all they could do with bank statements. Was privacy an issue, I asked. Oh no, this was for the user's benefit, so she'd be happy to share bills and statements and, anyway, India had no privacy law.

Two days later, the Supreme Court ruled that Privacy was to be a fundamental right, implicit in Article 21 of the Constitution. That landmark ruling was set to change our lives; but very, very slowly. The Digital Personal Data Protection (DPDP) Act was finally born six years later, and stayed in the incubator for two years till its rules and regulator were notified late in 2025. Organisations have till 2027 to fully comply, 10 years after the landmark privacy ruling. Yet this isn't a full-fledged privacy law like Europe's, and this law written for data is underequipped for AI. It lacks provisions for algorithmic accountability, a right to explanation for automated decisions, and liability for AI-driven bias (all of which Europe addresses). And government and law enforcement are largely exempt, but that's another story.

This story is more about the ravenous AI monster, feeding on our data. The DPDP Act relies largely on user consent, but what exactly will you consent to? You have no idea of the AI's ultimate use of your data—even its developers don't know that. Which leaves consent with little value against the opacity and scale of AI processing.

Back to that old idea: what all can you do with bank statements, even without waiting for users to upload them? Account aggregators, which share data across financial institutions, scan bank statements for patterns. The CEO of such a firm gave this example to a reporter: frequent UPI payments of Rs 16 indicate cigarette purchases, and we can pass that on to insurance companies. Consent? Oh yes, the user gives consent for the insurer to access the bank statement because she wants insurance, but she has little idea how that information would affect her insurance premium.

THE INDIAN PRIVACY LAW HAS NO PROVISION FOR ALGORITHMIC ACCOUNTABILITY, EXPLANATION FOR AUTOMATED DECISIONS, OR **LIABILITY FOR AI-DRIVEN BIAS**